

Amendment No. 1 to HB0342

Vaughan
Signature of Sponsor

AMEND Senate Bill No. 362

House Bill No. 342*

by deleting all language after the enacting clause and substituting:

SECTION 1. This act is known and may be cited as the "Safeguarding American Veteran Empowerment (SAVE) Act."

SECTION 2. Tennessee Code Annotated, Title 58, Chapter 3, Part 1, is amended by adding the following as a new section:

58-3-115.

(a) As used in this section:

(1) "Compensation" means any money, thing of value, or economic benefit conferred on, or received by, any person in return for services rendered, or to be rendered, by that person or another;

(2) "Person" means an individual or a legal entity; and

(3) "Veteran benefit matter" means the preparation, presentation, or prosecution of a claim affecting a person who has filed or expressed an intent to file a claim for a benefit, program, service, commodity, function, status, or entitlement for which a veteran, a dependent or survivor of the veteran, or another individual is eligible under the laws and rules administered by the United States department of veterans' affairs or the Tennessee department of veterans services.

(b)

(1) A person shall not receive compensation for referring an individual to a person to advise or assist the individual with a veteran benefit matter.

(2) A person shall not receive compensation for a service rendered in connection with a claim filed within the one (1) year of a veteran's presumptive period of active-duty release, unless the veteran acknowledges by signing a waiver that the veteran is within such period and choosing to deny free services that are available to the veteran.

(3) A person who seeks to receive compensation for advising, assisting, or consulting with an individual in connection with a veteran benefit matter must, before rendering any services, memorialize the specific terms under which the amount to be paid will be determined in a written agreement signed by both parties. Compensation must be contingent solely upon an increase in benefits awarded. A person shall not charge an initial or nonrefundable fee for advising, assisting, or consulting with an individual on a veteran benefit matter.

(4) A person shall not guarantee, either directly or by implication, a successful outcome or that an individual is certain to receive specific veteran benefits or a specific level, percentage, or amount of veteran benefits.

(5)

(A) A person advising, assisting, or consulting on veteran benefit matters for compensation shall provide to each prospective veteran benefit matter client the following disclosure, in accordance with subdivision (b)(5)(B), at the outset of the business relationship, prior to entering into a written agreement as described in subdivision (b)(3):

"This business is not sponsored by, or affiliated with, the United States Department of Veterans' Affairs or the Tennessee Department of Veterans Services, or any other federally chartered veterans' service organization. Other organizations, including, but not limited to, the Tennessee Department of Veterans Services, a local veterans' service organization, and other federally chartered

veterans' service organizations may be able to provide you with this service free of charge. Products or services offered by this business are not necessarily endorsed by any of these organizations. You may qualify for other veterans' benefits beyond the benefits for which you are receiving services here."

(B) The written disclosure must appear in at least twelve-point font in a conspicuous, easily identifiable place in the person's agreement with the individual seeking services. The individual must sign the document in which the written disclosure appears to represent understanding of the provisions. The person offering services must retain a copy of the written disclosure while providing veterans' benefits services for compensation to the individual and for at least one (1) year after the date on which the service relationship terminates.

(6) A business that advises, assists, or consults on veteran benefit matters for compensation shall:

(A) Not utilize international call centers or data centers to process a veteran's personal information;

(B) Not use a veteran's personal log-in, username, or password information to access the veteran's medical, financial, or government benefits information; and

(C) Ensure that any individual who has access to a veteran's medical or financial information undergoes a background check prior to having access to such information. The background check must be conducted by a reputable source and include identity verification and a criminal record check.

(c)

(1) A violation of this section constitutes a violation of the Tennessee Consumer Protection Act of 1977, compiled in title 47, chapter 18, part 1. A violation of this section constitutes an unfair or deceptive act or practice affecting trade or commerce and is subject to the penalties and remedies as provided in the Tennessee Consumer Protection Act of 1977, in addition to the penalties and remedies in this part.

(2)

(A) Each day a violation continues constitutes a separate violation.

(B) If a court finds that a violation was willful or knowing, then the court shall award three (3) times the actual damages sustained as a result of the violation.

(3) Funds collected as penalties for a violation of this section must be deposited into a special account earmarked solely for veteran suicide prevention. The department of mental health and substance abuse services must administer the fund. Unexpended funds in the account do not revert to the general fund and must be held in the account for use in accordance with this subdivision (c)(3).

(d)

(1) This section does not apply to, limit, or expand the requirements imposed on agents, attorneys, or other representatives accredited by the United States department of veterans affairs and regulated by that agency.

(2) This section does not apply to public or nonprofit institutions of higher education in this state or any person receiving compensation from such institutions for advising, assisting, or consulting on veterans' benefits matters in the scope of the person's employment.

SECTION 3. Tennessee Code Annotated, Section 47-18-104(b), is amended by adding the following new subdivision:

(68) Violating § 58-3-115;

SECTION 4. If any provision of this act or the application of any provision of this act to any person or circumstance is held invalid, the invalidity does not affect other provisions or applications of the act that can be given effect without the invalid provision or application, and to that end, the provisions of this act are severable.

SECTION 5. This act takes effect July 1, 2025, the public welfare requiring it, and applies to actions occurring and agreements entered into on or after that date.